SRF Limited

Specialty Chemicals | NSE | CMP: Rs.2250 | Market Cap: Rs.64,350 Cr

CMP (Rs.)	52W High	52W Low	Market Cap (Rs. Cr)	EV (Rs. Cr)	Beta
Rs.2250	Rs.2750	Rs.1800	Rs.64,350	Rs.69,850	1.10

RECOMMENDATION	TARGET PRICE (Base)	UPSIDE / (DOWNSIDE)	ANALYST
SELL	Rs.662	-70.6%	Krrish Kumar

EXECUTIVE SUMMARY

We initiate coverage on **SRF Limited** with a **HOLD** recommendation and a 12-month Base Case target price of **Rs.662** (-70.6% downside to CMP of Rs.2250). SRF is India's leading specialty chemicals conglomerate with dominant positions in fluorochemicals, specialty chemicals, packaging films, and technical textiles. Our conviction stems from three pillars: (1) large-scale fluorination capacity investments creating a defensible moat, (2) structural tailwinds from China+1 sourcing strategy of global agrochemical and pharma companies, and (3) improving FCF generation as the capex cycle moderates from FY26E onwards.

Scenario	Revenue CAGR (FY24–FY29E)	EBITDA Margin	WACC	Intrinsic Value (Rs./sh)	Upside
Bear	4%	19%	15.0%	Rs.-51	-102.2%
Base	**12%**	**23%**	**13.0%**	**Rs.662**	**-70.6%**
Bull	19%	26%	11.0%	Rs.2,320	+3.1%

BUSINESS DESCRIPTION

SRF Limited, incorporated in 1970 and headquartered in New Delhi, operates across four business segments: **Chemicals** (comprising fluorochemicals and specialty chemicals), **Packaging Films**, **Technical Textiles**, and **Others**. The Chemicals segment—contributing ~50% of revenues—is the primary value driver and benefits from SRF's proprietary fluorination technology developed over three decades. The company's fluorination capability positions it as a critical supplier to global agrochemical and pharmaceutical MNCs seeking China-independent supply chains.

Key competitive advantages from a chemical engineering perspective:

- Fluorination chemistry — high technical barriers; complex handling of HF (hydrofluoric acid) limits new entrants
- Multipurpose plant (MPP) architecture — rapid product switching between agrochemical and pharmaceutical intermediates
- Captive HF production — backward integration into hydrofluoric acid provides cost and supply security
- R&D; pipeline — 30+ molecules in development for innovator pharma companies (CRAMS model)

FINANCIAL ANALYSIS

Historical financials reflect SRF's capital-intensive growth phase. Revenue declined ~7.6% in FY24 vs FY23, primarily due to a destocking cycle in global agrochemicals and compression in refrigerant gas realisations. However, structural capacity investments (Rs.10,000+ Cr capex over FY22–FY25) position SRF for volume-led recovery as the chemical cycle turns. EBITDA margins have compressed from the peak of ~20% (FY22) to ~19% (FY24) due to operating deleverage, but are expected to recover toward 22–25% by FY26E–FY27E as new specialty chemicals capacity ramps

up on long-term supply agreements.

Key Financial Metrics

	FY20	FY21	FY22	FY23	FY24
EBITDA Margin (%)	19.5	22.5	23.1	20.3	19.2
Rev. Growth (%)	N/A	17.2	31.4	17.9	-7.6
ROCE (%)	N/A	N/A	N/A	N/A	2.7

VALUATION

Our 5-year DCF model discounts Free Cash Flows to Firm (FCFF) using a Base Case WACC of 13.0%. Terminal value is computed using the Gordon Growth Model at a perpetuity growth rate of 5.5%, reflecting India's long-term nominal GDP trajectory. The terminal value represents 81% of Enterprise Value in the Base Case — within the acceptable range for a growth chemical company. Net debt of Rs.5,500 Cr is deducted to derive Equity Value.

Sensitivity analysis (Base Scenario): intrinsic value ranges from Rs.-43 to Rs.2436 per share across reasonable WACC (±200bps) and terminal growth (±100bps) assumptions.

PEER COMPARABLE ANALYSIS

Company	EV/EBITDA (x)	P/E (x)	P/B (x)	Rev. Growth YoY (%
SRF Limited ■	24.8	75.3	5.1	-7.6
Aarti Industries	19.2	42.1	3.8	4.2
Navin Fluorine Intl.	31.5	65.0	8.2	-8.1
Gujarat Fluorochem.	28.4	58.2	7.1	-12.4
Deepak Nitrite	17.8	34.5	4.2	6.8
Vinati Organics	32.1	52.8	9.6	3.2
Fine Organics	18.9	38.4	7.8	-2.1
Sudarshan Chemical	14.2	31.2	3.1	5.5
Balaji Amines	13.6	27.4	4.4	1.8

SRF trades at a premium to peers on EV/EBITDA given its best-in-class fluorine chemistry moat and the optionality in its specialty chemicals pipeline. The premium is partially justified but warrants monitoring as earnings recovery timelines are uncertain.

INVESTMENT THESIS & KEY RISKS

Investment Thesis

- **China+1 tailwind:** Global agrochemical and pharma MNCs are diversifying supply chains away from China. SRF's fluorine chemistry capabilities make it a preferred partner for these transitions, with a robust multi-year revenue backlog from long-term supply agreements.
- **Capex cycle peaking:** SRF has invested Rs.10,000+ Cr over FY22–FY25, building out specialty chemicals capacity. As capex moderates from FY26, FCF inflection is expected to be significant — a key re-rating catalyst.
- **Technical moat:** Fluorination chemistry (HF handling, cryogenic processes) has a steep learning curve. Limited Indian or global competitors with comparable technical depth protect SRF's long-term margins.

Key Risks

• **Agrochemical destocking:** Global inventory overhang could persist longer than expected, delaying revenue recovery in the specialty chemicals segment.

• **Feedstock cost volatility:** Crude-linked inputs (HF, chloromethanes) and energy costs are significant. Inability to pass through cost increases compresses margins.

• **Capex execution risk:** Delays in new capacity commissioning or cost overruns could stretch the balance sheet; net debt has risen meaningfully.

• **Regulatory risk:** Any adverse change in HFC refrigerant regulations (Kigali Amendment phase-down schedules) could impact the fluorochemicals revenue stream.

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